Module -5 :: Financial Accounting and Analysis

Introduction – Accounting

Every business organisation wants to know whether it has made profit or not at the end of a given period. For this purpose, it has to prepare a statement containing profit or loss. It also wants to know what it owns (assets) and how much it owes (liabilities) to its suppliers and others. For this purpose, it prepares a statement showing its assets and liabilities. In order to prepare these statements, the business organisation has to maintain a set of accounts.

This chapter explains the concept and significance of accounting, branches of accounting, accounting cycle, key terms used in accounting, accounting concepts, double entry book-keeping and its significance, types of accounts and rules governing the preparation of journal/subsidiary books and ledger accounts.

Definition:

American Institute of Certified Public Accountants (AICPA) defines accounting as an art of recording, classifying, and summarising in a significant manner, and in terms of money and events which are, in part at least, of a financial character and interpreting the results thereof.

From this definition, it is clear that the,

- art of recording involves writing the financial transactions , immediately after they occur, in the accounting records such as cash book, purchases book, sales book and so on, in an orderly manner
- art of classifying involves a classification of such data under appropriate heads of account such as sales, purchases, salaries, assets and so on
- art of summarising in a significant manner consists of presenting such classified data in such a way that is useful to the internal and external end-users of accounting statements

The **American Accounting Association (AAA)** defines accounting as the process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by the users of the information. The users may be internal or external.

In other words, the main function of accounting is to interpret the summarised data in a meaningful manner so that the end users, can take appropriate decisions on such questions as:

1. Is it profitable to invest in a particular company or not?
2. Does it sound sensible to lend funds to a particular company or not?
3. Is the particular company paying its taxes in time?

4. Is the company progressing in terms of profits, sales, assets, market share, etc? Are the profits sufficient to meet the expansion plans and attract investors?

What is Accounting?

Accounting is often referred to as the "language of business." It involves the process of recording, summarizing, analyzing, and reporting financial transactions of a business or organization. The goal is to provide a clear picture of a company's financial health, which is essential for decision-making, planning, and accountability.

Key Areas of Accounting

1. **Financial Accounting**: Focuses on the preparation of financial statements such as the balance sheet, income statement, and cash flow statement. These are intended for external users like investors, creditors, and regulatory authorities.
2. **Managerial Accounting**: Provides detailed financial and operational information to help internal managers make decisions related to budgeting, forecasting, and performance evaluation.
3. **Cost Accounting**: A subfield of managerial accounting that looks at the costs of production, helping businesses control and optimize their expenditures.
4. **Tax Accounting**: Involves planning for and complying with tax regulations. Tax accountants prepare tax returns and strategize to minimize tax liabilities while ensuring compliance with laws.
5. **Auditing**: Focuses on the examination and verification of financial statements to ensure accuracy and compliance with accounting standards and regulations.

Functions of Accounting

Accounting serves several critical functions that are essential for the smooth operation and management of a business. These functions help businesses keep track of their financial health, comply with regulations, and make informed decisions. Here are the key functions of accounting:

1. Recording Financial Transactions (Bookkeeping)

- **Function**: This is the foundational function of accounting, where every financial transaction is systematically recorded.
- **Purpose**: It ensures that all transactions, such as sales, purchases, receipts, and payments, are accurately logged.
- **Importance**: Accurate records are essential for generating financial statements and meeting legal and tax requirements.

2. Classifying Financial Data

- **Function**: Once transactions are recorded, they are classified into categories (accounts), such as assets, liabilities, revenue, and expenses.
- **Purpose**: To organize financial data in a way that makes it easy to analyze and understand.
- **Importance**: Proper classification helps in preparing financial statements and provides clarity about where money is coming from and going to.

3. Summarizing Financial Information

- **Function**: This involves aggregating the classified data to produce financial statements, such as the **Income Statement**, **Balance Sheet**, and **Cash Flow Statement**.
- **Purpose**: To provide a summary of the financial activities and position of the business over a specific period.
- **Importance**: Financial summaries help business owners, investors, and managers assess the performance and financial position of the company.

4. Analyzing Financial Data

- **Function**: This function involves interpreting and evaluating the financial information generated through accounting.
- **Purpose**: To provide insights into financial performance, profitability, cash flow, and operational efficiency.
- **Importance**: Business leaders use financial analysis to make informed decisions, such as budgeting, cost-cutting, and investment strategies.

5. Reporting Financial Information

- **Function**: Accountants prepare financial reports, including statements and other documents, to communicate financial data to various stakeholders (investors, creditors, government agencies, etc.).
- **Purpose**: To provide transparent and accurate financial information for decision-making.
- **Importance**: Reporting ensures that stakeholders have a clear understanding of the company's financial health and helps in securing investments or loans.

6. Budgeting and Forecasting

- **Function**: Accounting helps businesses plan for the future by creating budgets and forecasts based on historical data and expected future events.
- **Purpose**: To set financial targets and manage resources efficiently.

- **Importance**: Effective budgeting and forecasting ensure that businesses can allocate resources effectively, manage cash flow, and achieve financial goals.

7. Ensuring Legal Compliance

- **Function**: Accounting ensures that businesses comply with financial regulations, tax laws, and industry standards.
- **Purpose**: To help businesses avoid legal issues and penalties by adhering to tax laws, accounting standards (e.g., GAAP or IFRS), and other regulations.
- **Importance**: Legal compliance is essential for maintaining a good reputation, avoiding penalties, and operating smoothly.

8. Providing Internal Control

- **Function**: Accounting includes procedures and controls to safeguard business assets and prevent fraud.
- **Purpose**: To ensure that financial resources are used appropriately and to detect any discrepancies or errors in financial reporting.
- **Importance**: Strong internal controls help maintain the integrity of financial data and ensure the accuracy of reports, reducing the risk of mismanagement or fraud.

9. Evaluating Financial Performance

- **Function**: Accounting helps assess the performance of a business by using key financial metrics like profitability, liquidity, and solvency ratios.
- **Purpose**: To determine how well the business is doing financially and identify areas for improvement.
- **Importance**: Performance evaluation helps businesses make data-driven decisions on improving operations and increasing profitability.

10. Cost Control and Analysis

- **Function**: Through cost accounting, businesses can track and analyze costs related to production, labor, overhead, and other expenses.
- **Purpose**: To identify areas where cost reductions are possible and improve the overall efficiency of operations.
- **Importance**: Cost control is crucial for increasing profit margins and ensuring that the business operates within its financial means.

11. Asset Management

- **Function**: Accounting helps in tracking and managing business assets, including inventory, equipment, and property.
- **Purpose**: To ensure that assets are being utilized effectively and efficiently and that their value is accurately reflected in financial statements.
- **Importance**: Proper asset management helps businesses maximize their investment and avoid loss of resources.

12. Tax Planning and Compliance

- **Function**: Accounting helps businesses plan for and comply with tax obligations, ensuring that taxes are paid accurately and on time.
- **Purpose**: To optimize tax liabilities by taking advantage of deductions, credits, and other strategies allowed by tax laws.
- **Importance**: Proper tax planning can reduce the overall tax burden and help businesses avoid legal issues with tax authorities.

Why is Accounting Important?

The importance of accounting is as follows,

1. Tracking Financial Transactions

Accounting helps businesses track their financial transactions accurately.

2. Informed Decision-Making

It provides a clear picture of a company's financial health for decision-making.

3. Legal Compliance

Accounting ensures compliance with tax laws and financial regulations.

4. Effective Resource Management

It helps businesses plan and create budgets for effective resource management.

5. Communication with Stakeholders

Through financial statements, accounting informs stakeholders about a company's performance.

6. Securing Loans or Investments

Accounting assists in securing loans or investments by providing reliable financial data.

7. Cost Monitoring and Profitability

Accounting helps in monitoring and controlling costs to improve profitability.

8. Business Forecasting and Planning

It provides a basis for business forecasting and future planning.

9. Safeguarding Assets

Proper accounting safeguards business assets and prevents fraud.

10. Transparency and Accountability

It enhances transparency and accountability, building trust with investors and stakeholders.

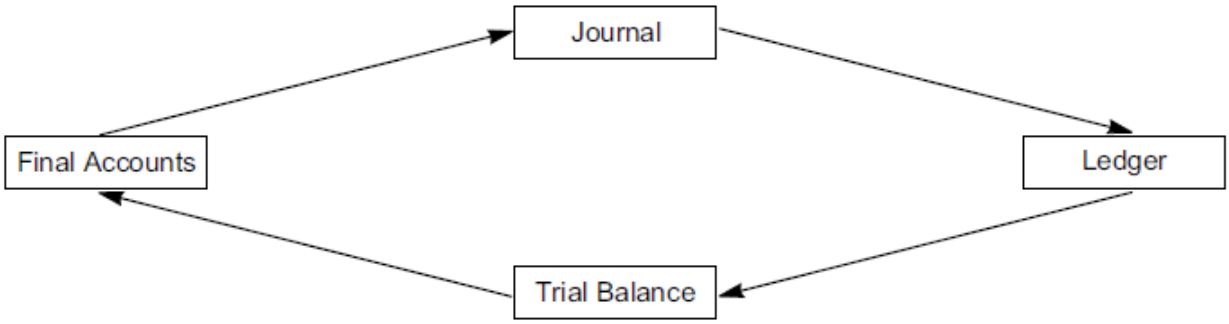
Users of Accounting Information

- **Owners:** Owners want to know about the profits. They want to know how their business is going on.
- **Creditors or financial institutions:** Creditors or financial institutions are those who lend finances to the business firm. They want to know whether their funds are safe or not. They use accounting information to judge the creditworthiness of a business firm. They wish to know whether the firm is capable of paying interest from time to time or not.
- **Managers:** Managers use accounting information to report to the owners or shareholders. From accounting information, they can know whether their decisions are effective or not.
- **Government or tax authorities:** Government is interested in taxes. From accounting information, it assesses the tax liability of a firm, based on the net profits earned for a particular period.
- **Employees:** Employees are personally interested in the accounting information to know if they can put forth their claims for better wages or better facilities.

Accounting Cycle

Accounting cycle covers all the important stages in accounting. They include the process of preparing journal, ledger, trial balance and final accounts. The moment transactions take place in business, these are recorded in the first book called journal. From journal, entries are posted into ledger accounts. On the basis of balances shown by ledger accounts, a statement showing debit and credit balances is prepared to ensure arithmetic accuracy of the accounts. This statement is called Trial Balance. From the information available in trial balance, final accounts are prepared. Final accounts comprise trading account, profit and loss account for the end of the given accounting period and balance sheet as on the given date.

The following figure shows the accounting cycle.



1. Journal

- **Explanation**: The journal is the first place where all business transactions are recorded in chronological order.
- **Example**: If a business makes a sale of $500 in cash:

- **Journal Entry**:
  - Debit: Cash $500
  - Credit: Sales Revenue $500

2. Ledger

- **Explanation**: The ledger is where journal entries are transferred to individual accounts, showing the balance in each account.
- **Example**: After posting the journal entry above, the **Cash** account in the ledger would show an increase of $500, and the **Sales Revenue** account would show an increase of $500.

3. Trial Balance

- **Explanation**: A trial balance is a summary of all ledger balances, used to ensure that total debits equal total credits.
- **Example**: After posting the entry, the trial balance might look like:
  - **Debit**: Cash $500
  - **Credit**: Sales Revenue $500
    Total Debits = Total Credits = $500

4. Final Accounts

- **Explanation**: Final accounts include the Income Statement (Profit & Loss) and Balance Sheet, summarizing the financial performance and position of the business.
- **Example**: Based on the trial balance:
  - **Income Statement**: Revenue = $500, Net Income = $500
  - **Balance Sheet**: Assets = $500 (Cash), Liabilities = $0, Equity = $500

These steps help businesses ensure that their financial data is accurate and organized for decision-making and reporting.

The Basic Accounting Equation

At the core of accounting is the basic equation: **Assets = Liabilities + Equity**

This means that everything a company owns (assets) is funded by either debt (liabilities) or owner investment (equity). This equation forms the foundation of a balance sheet.

- **Assets**: What the business owns (e.g., cash, inventory, buildings).
- **Liabilities**: What the business owes (e.g., loans, accounts payable).

- **Equity**: The owner's claim on the business after liabilities are deducted (e.g., owner's capital, retained earnings).

This equation must always remain in balance, meaning that the resources a company owns (assets) are financed either by borrowing money (liabilities) or through the owner's investment (equity).

Example:

If a business has $10,000 in assets, $4,000 in liabilities, the owner's equity would be $6,000, as:

$10,000 (Assets) = $4,000 (Liabilities) + $6,000 (Equity)

Accounting Terminology

The following are the terms used frequently in accounting process:

- **Double-entry Book-keeping** This is a system of book-keeping where for every debit, there is a corresponding credit.
- **Account** This is a financial record in T shaped format, under double entry book-keeping, dealing with financial transactions.
- **Debit** The left hand side of the account.
- **Credit** The right hand side of the account.
- **Accounting Period** Accounting period refers to the period for which accounts are maintained. Normally it is a period of one year.
- **Transaction** Transaction involves exchange of money or money's worth between two parties. Transaction may be of two types: *cash transaction or credit transaction.*
- ***Cash transaction*** involves the payment or receipt of cash. For example, Sold goods worth Rs. 5000 to Gopal for cash. In this transaction, it is clear that the goods are sold for cash to Gopal.
- ***Credit transaction*** does not involve cash. It involves a promise to pay cash at a future date. For example, Purchased goods worth Rs. 30,000 from Gopal. Here Gopal supplies goods worth Rs. 30,000 or we purchase goods on credit. Cash is to be paid at a future date, not immediately. So it is called a credit transaction.
- **Assets** All such items that have value are known as assets. It refers to what a business owns, namely its plant, machinery, furniture, land and so on.
- ***Tangible fixed assets*** Tangible fixed assets can be touched and seen. Examples are plant, machinery, etc.
  Such assets have long life, could be used in business, and resold later.
- ***Intangible fixed assets*** Such fixed assets that cannot be seen or touched are called intangible fixed assets. They can be felt. The reputation of a firm (also called goodwill), the value of patents, trademarks and brand names such as Coke or Pepsi, refers to intangible fixed asset.

- ***Stock/Inventory*** Stock or inventory refers to the goods in which the firm deals. A large business may have three types of stock: raw materials, work in progress and finished goods. The stock at the end of the
  year is valued on the basis of cost or selling price whichever is less. The closing stock of an accounting period becomes opening stock for the next accounting period.
- **Current Assets** Current assets are expected to be realised in cash or consumed during business operations.
  Examples for current assets are cash in hand, cash at bank, stock, debtors, expenses paid in advance (prepaid expenses), incomes yet to be received, short-term investments, bills receivable and so on.
- **Debtors and Creditors** Debtors are those who owe to the business money. These arise during credit sales. Debtors are part of current assets. Creditors are those to whom the business owes money. For instance, when the firm sells goods to say X on credit, X is the debtor and the firm is the creditor. Creditors are part of current liabilities.
- **Bills Receivable** These refer to the acceptances received from the customers or business parties to pay an agreed amount of money. Acceptances received are called bills receivable. Bills receivable form part of current assets.
- **Capital** Capital refers to the difference between assets and liabilities (Capital = Assets – Liabilities).
- **Liabilities** What the firm has to pay legally, they are called liabilities. In other words, it refers to what the firm owes to outsiders.
- **Bills Payable** The acceptances given to the suppliers of goods or other business parties to pay an agreed amount of money are called bills payable. Acceptances given are called bills payable. Bills payable constitute part of current liabilities.
- **Overdraft** The facility sanctioned by a banker to a customer to draw more than what is deposited in the account, subject to a maximum limit of money is called overdraft. It may be for a short period or for a long period.
- **Accrued or Outstanding Expenses** These refer to the expenses yet to be paid. Examples are outstanding salaries and rent.
- **Current Liability** Current liabilities are those which are payable in the near future say less than an year. Examples are creditors, bills payable, bank overdraft, and outstanding or accrued expenses.
- **Sales** Sales refer to the value of goods or services sold during a given accounting period. Sales may be cash or credit sales. In credit sales, the debtor promises to pay the firm at a future date.
- **Sales Returns (Returns Inwards)** These refer to the goods returned by customers with a complaint about damage or defects. Sales returns are also called return inwards.
- **Net Sales** Net sales refer to sales minus sales returns. (Net Sales = Sales – Sales returns)
- **Purchases** Purchases refer to the value of goods or services purchased during a given accounting period. Purchases may be cash purchases or credit purchases. In credit purchases, the firm agrees to pay

the amount to the supplier (creditor) at a future date.

- **Purchase Returns (Returns Outwards)** These are goods returned by the firm to the suppliers of goods with a complaint. Purchase returns are also called returns outwards.
- **Net Purchases** Purchase minus purchase returns constitute net purchases. (Net Purchase = Purchases - Purchase Returns)
- **Drawings** This refers to the money drawn by the owner from his funds invested as capital in the business or firm. It may also refer to the value of goods used by the owner for his personal use.
- **Revenue Expenditure** Revenue expenditure refers to the expenditure incurred on running the business. It also refers to the expenditure to maintain the assets of the business. Examples for revenue expenditure are wages and salaries, rent for factory or office, insurance paid, depreciation on plant or any other fixed assets, purchases of raw materials, etc.
- **Revenue Receipts** Revenue receipts are those receipts from customers for the goods supplied or fee received from them towards the services provided to them in the ordinary course of business. Examples are sales proceeds, rent received, commission received, etc.
- **Capital Expenditure** Capital expenditure is that expenditure incurred to acquire a fixed asset, tangible or intangible. Examples for capital expenditure are purchase of plant, furniture, good will, etc.
- **Capital Receipts** Capital receipts are the receipts from sale of fixed assets such as machinery or furniture. The asset may be sold as and when it is old or is to be replaced.

Accounting Concepts and conventions

The financial statements viz. the income statement (trading and profit and loss account) and balance sheet (position statement) are prepared on the basis of a number of assumptions, conventions, and policies, commonly known as Generally Accepted Accounting Principles (GAAP). Unlike principles in natural sciences, the concepts of GAAP are framed on the basis of custom, usage and necessity, and it includes the conventions, procedures and accounting practices. Several accounting bodies such as Financial Accounting Standard Board (FASB), American Institute of Certified Public Accountants (AICPA) of USA, Institute of Chartered Accountants of India (ICAI) and 15 equivalents in other countries such as Australia and Britain follow these principles.

Instead of using terms such as concepts, conventions, policies, and principles, it is advisable to use only one term namely “accounting concepts”.

The following section deals with the important accounting concepts.

1. Business Entity Concept

- **Definition**: The business is treated as separate from its owners or other businesses, meaning the business's financial transactions should be kept separate from personal transactions of the owners.
- **Example**: A business owner's personal expenses should not be recorded in the company's financial statements.

2. Going Concern Concept

- **Definition**: Assumes that a business will continue its operations indefinitely, unless there's evidence to the contrary.
- **Example**: A company prepares financial statements assuming it will not be liquidated in the near future.

3. Money Measurement Concept

- **Definition**: Only transactions that can be measured in monetary terms are recorded in the financial statements.
- **Example**: Employee skills or company reputation are not recorded because they can’t be quantified in monetary terms.

4. Cost Concept

- **Definition**: Assets are recorded at their original purchase cost, not their market value.
- **Example**: A building bought for $100,000 is recorded as $100,000, even if its market value rises.

5. Realisation/Accrual Concept

- **Definition**: Revenues are recognized when earned, and expenses are recognized when incurred, not when cash is received or paid.
- **Example**: Sales are recorded when goods are delivered, not when payment is received.

6. Accounting Period Concept

- **Definition**: Financial statements are prepared for a specific period, such as a month, quarter, or year.
- **Example**: A business might prepare annual financial statements for the fiscal year ending December 31st.

7. Matching Concept

- **Definition**: Expenses should be matched with the revenues they help generate within the same period.
- **Example**: If a business earns $1,000 in sales, the cost of goods sold associated with that revenue should be recorded in the same period.

8. Dual Aspect Concept

- **Definition**: Every transaction affects at least two accounts, ensuring that the accounting equation (Assets = Liabilities + Equity) stays balanced.
- **Example**: A business buys inventory on credit:
  - Debit: Inventory (Asset)
  - Credit: Accounts Payable (Liability)

9. Consistency

- **Definition**: A company should use the same accounting methods from one period to the next.
- **Example**: If a company uses straight-line depreciation in one year, it should continue using the same method in future years unless a change is justified.

10. Full Disclosure

- **Definition**: All relevant financial information must be disclosed in the financial statements or notes, ensuring transparency.
- **Example**: A company must disclose any legal contingencies or pending lawsuits that could affect its financial position.

11. Materiality

- **Definition**: Small, insignificant transactions may be disregarded if their omission or misstatement doesn't affect the overall financial statements.
- **Example**: A $10 office supply purchase may not need to be recorded in great detail in the financial statements.

12. Conservatism

- **Definition**: When in doubt, record expenses and liabilities as soon as possible, but only recognize revenues when they are certain.
- **Example**: A company might understate the value of inventory to avoid overstating profits.

Types Of Account & Rules Governing Each Account

There are three types of account. They are personal account, real account and nominal account.

(a) Personal Account

These are accounts opened in the name of persons, firms, and companies with whom the firm deals. The rule governing personal accounts is 'debit the receiver and credit the giver'. This rule can be explained with the following examples.

Example 1 Suppose X buys goods worth Rs. 5000 from us. This is not a cash transaction. This is credit transaction. So X is our debtor as he is receiving the goods. So debit X account in our books.
Example 2 Suppose X sold goods worth Rs. 10,000 to Y. Now Y is the receiver of goods. In the books of X, debit Y account. Similarly for Y, X is the giver. Hence in the books of Y, credit X account.

(b) Real Account

These are accounts opened in the name of assets such as land and buildings, plant and machinery, furniture and fixtures etc. The rule governing real account is 'debit what comes in and credit what goes out'.

This rule can be explained with the following two examples.

Example 3 Suppose XYZ firm buys. plant worth Rs. 40,000 for cash. What is coming into XYZ firm?
Plant. The rule is ,'debit what comes in'. So debit plant account.

Plant→ Real account→ Debit (coming in)
Now, what is going out? Cash. The rule is 'credit what goes out'. Credit cash account in the books of XYZ firm.
Cash→Real account→ Credit (going out)

Example 4 You sell your refrigerator for Rs. 6,000. What do you debit and what do you credit?
When you sell the asset, cash is coming into business and the asset is going out of the business. So debit cash account and credit the refrigerator account.
Cash→Real account→ Debit (coming in)
Refrigerator (Asset)→real account→credit (going out)

(c) Nominal Account

This is also called fictitious account. It exists only for namesake. Nominal accounts cannot be seen. Nominal accounts are those which are opened in the name of expenses, losses, profits, incomes and gains. These cannot be physically seen. They can be felt. The rule governing nominal accounts is 'debit all expenses and loses and credit all incomes and gains'.

This can be explained with the following two examples:

Example 5 Suppose you pay Rs.500 towards salary of clerk. What do you debit and what do you credit?
Salary to the clerk is an expense. Expense is a nominal account. The rule is 'debit all expenses'. So debit the

salary account.

Salary paid (expense)→ Nominal account→ Debit

Cash account is credited here because cash is real account. The rule for real account is 'credit what goes out'.

Cash paid (payment→Real account→Credit

Example 6 Received Rs.500 towards interest on fixed deposit. What do you debit and credit in this case?

Cash of Rs.500 is received towards interest on fixed deposit. Cash is real account. The rule for real account is 'debit what comes in'. So debit cash account.

Cash received→Real account→Debit

Now what is to be credited? Interest on fixed deposit is income for the business. Income relates to nominal account. The rule for nominal account is 'credit all incomes and gains'. So credit interest on fixed deposit account.

Interest on fixed deposit→Nominal account→Credit

Personal Account Rule
Debit the receiver and credit the giver
Real Account Rule
Debit what comes in and credit what goes out
Nominal Account Rule
Debit all expenses and credit all incomes and gains

Double Entry Bookkeeping

In financial accounting, there are two systems of book-keeping: (a) single-entry book-keeping and (b) double-entry book-keeping.

Single-entry system is an unscientific and haphazard way of maintaining accounts. Small business units in the unorganised sector maintain their books of accounts under single-entry system of book-keeping.

Double-entry book-keeping is a scientific way of recording transactions based on the fact that for every debit, there is a corresponding credit. Under double-entry system, both debit and credit aspects of the transaction are being recorded.

Advantages of Double-entry Book-keeping

1. Information About Every Account Under double-entry system, both aspects of a transaction are being recorded in the books of accounts. Hence, information about every account is available in the books of account as all accounts are to be found in the ledgers under double-entry system.

Under single-entry system, only a few accounts such as cash account, debtors accounts, and creditors accounts are maintained.

2. Helps to Know the Receivables and Payables It helps to know how much is owed to the creditors and how much is due from the debtors. Also it focuses on the bills payable and receivables.

3. Arithmetical Accuracy The arithmetical accuracy can be ascertained by preparing a statement of debits and credits called trial balance and this is possible because both debit aspects and credit aspects of every transaction are recorded.

4. Helps to Locate Errors Trial balance can reveal the errors that creep in accounts while recording the business information.

5. Helps to Ascertain Profit/Loss The profit and loss statement can be prepared without much difficulty under double-entry system unlike in single-entry system.

6. Helps to Know the Financial Position Double-entry system helps to prepare balance sheet that reveals the financial position of the business as on a particular date.

7. Monitoring and Auditing Made Easier With double-entry system, the scope for frauds and misappropriations is less, provided proper internal audit system is in place.

Because of these advantages double-entry system is very much popular all over the world.

Journal

The first step in accounting therefore is the record of all the transactions in the books of original entry viz., Journal and then posting into ledges.

JOURNAL: The word Journal is derived from the Latin word 'journ' which means a day. Therefore, journal means a 'day Book' in day-to-day business transactions are recorded in chronological order.

Journal is treated as the book of original entry or first entry or prime entry. All the business transactions are recorded in this book before they are posted in the ledges. The journal is a complete and chronological (in order of dates) record of business transactions. It is recorded in a systematic manner. The process of recording a transaction in the journal is called "JOURNALISING". The entries made in the book are called "Journal Entries".

The Proforma of Journal is given below.

Date	Particulars	L.F. no	Debit RS.	Credit RS.
1998 Jan 1	Purchases account to cash account(being goods purchased for cash)		10,000/-	10,000/-

Ledger

All the transactions in a journal are recorded in a chronological order. After a certain period, if we want to know whether a particular account is showing a debit or credit balance it becomes very difficult. So, the ledger is designed to accommodate the various accounts maintained the trader. It contains the final or permanent record of all the transactions in duly classified form. "A ledger is a book which contains various accounts." The process of transferring entries from journal to ledger is called "POSTING".

Posting is the process of entering in the ledger the entries given in the journal. Posting into ledger is done periodically, may be weekly or fortnightly as per the convenience of the business.

The following are the guidelines for posting transactions in the ledger.

1. After the completion of Journal entries only posting is to be made in the ledger.
2. For each item in the Journal a separate account is to be opened. Further, for each new item a new account is to be opened.
3. Depending upon the number of transactions space for each account is to be determined in the ledger.
4. For each account there must be a name. This should be written in the top of the table. At the end of the name, the word "Account" is to be added.
5. The debit side of the Journal entry is to be posted on the debit side of the account, by starting with "TO".
6. The credit side of the Journal entry is to be posted on the debit side of the account, by starting with "BY".

Proforma for ledger: ***LEDGER BOOK***

Particulars account

Date	Particulars	Lfno	Amount	Date	Particulars	Lfno	amount

Sales account

Date	Particulars	Lfno	Amount	Date	Particulars	Lfno	amount

Cash account

Date	Particulars	Lfno	Amount	Date	Particulars	Lfno	amount

Trial Balance

The first step in the preparation of final accounts is the preparation of trail balance. In the double entry system of book keeping, there will be credit for every debit and there will not be any debit without credit. When this

principle is followed in writing journal entries, the total amount of all debits is equal to the total amount all credits.

A trail balance is a statement of debit and credit balances. It is prepared on a particular date with the object of checking the accuracy of the books of accounts. It indicates that all the transactions for a particular period have been duly entered in the book, properly posted and balanced. The trail balance doesn't include stock in hand at the end of the period. All adjustments required to be done at the end of the period including closing stock are generally given under the trail balance.

Definition

SPICER AND POGLAR: *A* trail balance is a list of all the balances standing on the ledger accounts and cash book of a concern at any given date.

A trail balance is a statement of debit and credit balances extracted from the ledger with a view to test the arithmetical accuracy of the books.
Thus a trail balance is a list of balances of the ledger accounts' and cash book of a business concern at any given date.

PROFORMA FOR TRAIL BALANCE:

Trail balance for MR..... as on .....

	NAME OF ACCOUNT (PARTICULARS)	DEBIT AMOUNT (RS.)	CREDIT AMOUNT (RS.)

Specimen of trial balance

1	Capital	Credit	Loan
2	Opening stock	Debit	Asset
3	Purchases	Debit	Expense
4	Sales	Credit	Gain
5	Returns inwards	Debit	Loss
6	Returns outwards	Debit	Gain
7	Wages	Debit	Expense
8	Freight	Debit	Expense
9	Transport expenses	Debit	Expense

10	Royalities on production	Debit	Expense
11	Gas, fuel	Debit	Expense
12	Discount received	Credit	Revenue
13	Discount allowed	Debit	Loss
14	Bas debts	Debit	Loss
15	Dab debts reserve	Credit	Gain
16	Commission received	Credit	Revenue
17	Repairs	Debit	Expense
18	Rent	Debit	Expense
19	Salaries	Debit	Expense
20	Loan Taken	Credit	Loan
21	Interest received	Credit	Revenue
22	Interest paid	Debit	Expense
23	Insurance	Debit	Expense
24	Carriage outwards	Debit	Expense
25	Advertisements	Debit	Expense
26	Petty expenses	Debit	Expense
27	Trade expenses	Debit	Expense
28	Petty receipts	Credit	Revenue
29	Income tax	Debit	Drawings
30	Office expenses	Debit	Expense
31	Customs duty	Debit	Expense
32	Sales tax	Debit	Expense
33	Provision for discount on debtors	Debit	Liability
34	Provision for discount on creditors	Debit	Asset
35	Debtors	Debit	Asset
36	Creditors	Credit	Liability
37	Goodwill	Debit	Asset
38	Plant, machinery	Debit	Asset
39	Land, buildings	Debit	Asset
40	Furniture, fittings	Debit	Asset
41	Investments	Debit	Asset
42	Cash in hand	Debit	Asset
43	Cash at bank	Debit	Asset
44	Reserve fund	Credit	Liability
45	Loan advances	Debit	Asset

46	Horse, carts	Debit	Asset
47	Excise duty	Debit	Expense
48	General reserve	Credit	Liability
49	Provision for depreciation	Credit	Liability
50	Bills receivable	Debit	Asset
51	Bills payable	Credit	Liability
52	Depreciation	Debit	Loss
53	Bank overdraft	Credit	Liability
54	Outstanding salaries	Credit	Liability
55	Prepaid insurance	Debit	Asset
56	Bad debt reserve	Credit	Revenue
57	Patents & Trademarks	Debit	Asset
58	Motor vehicle	Debit	Asset
59	Outstanding rent	Credit	Revenue

Final Accounts

In every business, the business man is interested in knowing whether the business has resulted in profit or loss and what the financial position of the business is at a given time. In brief, he wants to know (i) The profitability of the business and (ii) The soundness of the business.

The trader can ascertain this by preparing the final accounts. The final accounts are prepared from the trial balance. Hence the trial balance is said to be the link between the ledger accounts and the final accounts. The final accounts of a firm can be divided into two stages. The first stage is preparing the trading and profit and loss account and the second stage is preparing the balance sheet.

1.Trading Account

The first step in the preparation of final account is the preparation of trading account. The main purpose of preparing the trading account is to ascertain gross profit or gross loss as a result of buying and selling the goods.

Dr. **Trading account for the year ended . . .** **Cr.**

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		xxx	By Sales	xxx	
To Purchases	xxx		Less: Sales returns	xxx	xxx
Less: Purchases returns	xxx	xxx	By Closing stock		xxx
To Direct expenses:			By **Gross loss c/d***		xxx
Carriage/Freight inwards		xxx			
Wages		xxx			
Dock charges		xxx			
Octroi		xxx			
Royalty		xxx			
Import duty		xxx			
To Cost of goods manufactured		xxx			
To **Gross profit c/d***		xxx			
		xxx			xxx

2.Profit and Loss Account

The business man is always interested in knowing his net income or net profit.Net profit represents the excess of gross profit plus the other revenue incomes over administrative, sales, Financial and other expenses. The debit side of profit and loss account shows the expenses and the credit side the incomes. If the total of the credit side is more, it will be the net profit. And if the debit side is more, it will be net loss.

PROFIT AND LOSS A/C OF MR.....FOR THE YEAR ENDED.....

PARTICULARS	AMOUNT	PARTICULARS	AMOUNT
TO office salaries	Xxxxxx	By gross profit b/d	Xxxxx
TO rent,rates,taxes	Xxxxx	Interest received	Xxxxx
TO Printing and stationery	Xxxxx	Discount received	Xxxx
TO Legal charges		Commission received	Xxxxx
Audit fee	Xxxx	Income from	
TO Insurance	Xxxx	investments	
TO General expenses	Xxxx	Dividend on shares	Xxxx
TO Advertisements	Xxxxx	Miscellaneous	Xxxx
TO Bad debts	Xxxx	investments	
TO Carriage outwards	Xxxx	Rent received	xxxx
TO Repairs	Xxxx		
TO Depreciation	Xxxxx		
TO interest paid	Xxxxx		
TO Interest on capital	Xxxxx		
TO Interest on loans	Xxxx		
TO Discount allowed	Xxxxx		
TO Commission	Xxxxx		
TO Net profit-------→	Xxxxx		
(transferred to capital a/c)			
	xxxxxx		Xxxxxx

3.Balance Sheet

The second point of final accounts is the preparation of balance sheet. It is prepared often in the trading and profit, loss accounts have been compiled and closed. A balance sheet may be considered as a statement of the financial position of the concern at a given date.

DEFINITION: A balance sheet is an item wise list of assets, liabilities and proprietorship of a business at a certain state.

J.R.botliboi: A balance sheet is a statement with a view to measure exact financial position of a business at a particular date.

Thus, Balance sheet is defined as a statement which sets out the assets and liabilities of a business firm and which serves to ascertain the financial position of the same on any particular date. On the left-hand side of this statement, the liabilities and the capital are shown. On the right-hand side all the assets are shown. Therefore, the two sides of the balance sheet should be equal. Otherwise, there is an error somewhere

BALANCE SHEET OF ..... AS ON .....

Liabilities and capital	Amount	Assets	Amount
Creditors	Xxxx	Cash in hand	Xxxx
Bills payable	Xxxx	Cash at bank	Xxxx
Bank overdraft	Xxxx	Bills receivable	Xxxx
Loans	Xxxx	Debtors	Xxxx
Mortgage	Xxxx	Closing stock	Xxxx
Reserve fund	Xxxx	Investments	Xxxx
Capital xxxxxx		Furniture and fittings	Xxxx
Add:		Plants & machinery	
Net Profit xxxx		Land & buildings	Xxxx
-------		Patents, tm ,copyrights	Xxxx
xxxxxxxx		Goodwill	Xxxx
--------		Prepaid expenses	
		Outstanding incomes	Xxxx
Less:			Xxxx
Drawings xxxx	Xxxx		Xxxx
---------	XXXX		XXXX

Advantages of Final Accounts

Following are the advantages of final accounts in accounting,

1. **Financial Performance Evaluation**: Final accounts help assess the profitability of a business, showing whether it made a profit or loss during a specific period.
2. **Decision-Making**: They provide valuable information for managers, investors, and creditors to make informed decisions about the business's future.
3. **Legal Compliance**: Final accounts are required by law for tax purposes, ensuring businesses comply with tax regulations and financial reporting standards.
4. **Attracting Investment**: Clear and accurate final accounts help businesses secure loans or investments by demonstrating financial health.
5. **Transparency**: They provide transparency to stakeholders, ensuring they can trust the financial information of the business.
6. **Performance Comparison**: Final accounts allow businesses to compare their current performance with previous periods or industry standards.
7. **Tax Calculation**: They assist in calculating taxes accurately, ensuring that the business pays the correct amount.

Introduction - Financial Analysis

Ratio analysis is the process of determining and interpreting numerical relationships based on financial statements. By computing ratios, it is easy to understand the financial position of the firm. Ratio analysis is used to focus on financial issues such as liquidity, profitability and solvency of a given firm.

Liquidity, Profitability And Solvency

Liquidity, profitability and solvency, if independently looked into, are three conflicting factors which are mutually exclusive. If one factor is focussed, there is a danger of missing the others. Liquidity refers to how well the firm is in a position to meet its short-term commitments such as payment of salaries, taxes, and so on. Profitability refers to how capably the firm is conducting its business operations in a profitable manner. Solvency refers to the firm's position to meet its long-term commitments such as repayment of long-term loans, and so on.

The issues when seen together, offer a complex job to deal with. It is because, if more funds are retained to take care of liquidity, it may erode profitability.

The crux of the job of the finance manager is to maintain a balance among the factors of Liquidity, solvency and profitability of the firm.

What is a Ratio?

Ratio is simply a number expressed in terms of another. It refers to the numerical or quantitative relationship between two variables which are comparable. It is an expression derived by dividing one variable by the other. It is a statistical measure that provides an insight into the relationships between two variables. Ratios used rightly may even develop understanding and stimulate thinking. Ratios can be expressed in terms of percentages, proportions, and quotients also.

How to Select a Ratio?

The utility of ratio is based on its selection. The ratio selected should match with the purpose. Use the standard ratios to avoid misinterpretation. Items selected for computation of ratio should be related so as to provide meaningful results. The quantity demanded for a particular product when studied in relation to income of the consumer provides meaningful results.

Standard List of Ratios

There is no standard list of ratios used for financial analysis. A ratio can be conceptualised based on the need. There are significant variations in the ratios used in different firms of the same industry. Even the formula used for a given ratio may differ slightly. It is because the needs of these firms are different.

Interpretation

Interpretation refers to evaluating the ratio in terms of the laid out standards or norms; nature of the industry/sector; and identifying the possible cause for improvement or decline in the performance of the company. An insight into the logical functioning of business and the knowledge of cause and effect relationship among the given variables in the micro- and macro-business environment will enhance the quality of interpretation. Interpretation is to be made with meticulous care because future decisions are based on the results of interpretation.

Advantages and Limitations of Ratio Analysis

Advantages:

1. **Simplifies Financial Data**: Ratio analysis makes it easier to interpret financial data by converting raw figures into meaningful ratios, making it simpler for stakeholders to understand the financial health of a company.
2. **Performance Evaluation**: Ratios help evaluate the company's performance over time or in comparison to industry peers. This helps identify trends and areas for improvement.
3. **Improves Decision-Making**: By analyzing financial ratios, management, investors, and creditors can make more informed decisions about investments, creditworthiness, and strategic business moves.
4. **Identifies Strengths and Weaknesses**: Ratio analysis can highlight areas of strength and weakness within a company. For example, high liquidity ratios may indicate a strong cash position, while low profitability ratios may signal areas needing improvement.
5. **Useful for Benchmarking**: Ratios provide an opportunity for benchmarking a company's performance against industry standards or competitors, which can help gauge its relative standing.
6. **Assess Financial Stability**: Ratios such as debt-to-equity, current ratio, and quick ratio help assess the financial stability and solvency of a company, important for investors and creditors.

Limitations:

Historical Data: Ratio analysis is based on historical financial data, which may not reflect the current or future situation of the company. Financial conditions can change, and ratios may not be predictive of future performance.

1. **Lack of Standardization**: Different companies in the same industry may use different accounting practices, leading to inconsistencies when comparing ratios across firms. Variations in financial reporting can distort comparisons.
2. **Ignores Non-Financial Factors**: Ratio analysis focuses solely on financial data and does not consider qualitative factors such as company culture, market conditions, management quality, or customer satisfaction, which can be critical to overall performance.
3. **Over-Simplification**: Relying solely on ratios can oversimplify complex financial information. A single ratio might not provide a complete picture of a company's financial health or strategy.
4. **Limited Scope**: While ratio analysis provides a snapshot, it doesn't offer insights into the company's future prospects or growth potential. It doesn't capture non-financial factors that can influence a business's future.
5. **Potential for Manipulation**: Companies may use creative accounting or accounting choices to present more favorable ratios, misleading analysts and investors about the true financial condition.
6. **Does Not Account for External Factors**: Ratio analysis may fail to account for external economic conditions such as inflation, changes in market demand, or political instability, which can affect financial performance.

In conclusion, while ratio analysis is a powerful tool for assessing financial health and making informed decisions, it should be used alongside other qualitative and quantitative measures for a more comprehensive evaluation of a company's performance.

Types Of Ratios

Based on their nature, the ratios can broadly be classified into four categories:

(a) Liquidity ratios

(b) Activity ratios

(c) Capital structure ratios

(d) Profitability ratios

a)Liquidity Ratios

Liquidity ratios are financial metrics used to assess a company's ability to meet its short-term obligations using its most liquid assets. These ratios provide insight into the business's short-term financial health and operational efficiency.

Key Liquidity Ratios:

1. **Current Ratio**
   - **Formula**:

     Current Ratio = Current Assets/Current Liabilities

   - **Explanation**: This ratio measures a company's ability to pay off its short-term liabilities with its short-term assets (e.g., cash, inventory, receivables). A ratio of 2:1 is generally considered healthy.
   - **Example**: If current assets are $100,000 and current liabilities are $50,000, the current ratio is 2:1.

2. **Quick Ratio (Acid-Test Ratio)**
   - **Formula**:

     Quick Ratio = Quick Assets/Current Liabilities

     where Quick assets = Current assets – (Stock + Prepaid expenses)

   - **Explanation**: This ratio is a more conservative measure than the current ratio because it excludes inventory (which may not be as easily converted to cash). It focuses on assets that are highly liquid.

- **Example**: If current assets are $100,000, inventory is $20,000, and current liabilities are $50,000, the quick ratio is 1.6:1.

Importance of Liquidity Ratios:

- **Short-term Financial Health**: Liquidity ratios help assess if a company can cover its immediate financial obligations.
- **Risk Assessment**: Low liquidity ratios can indicate financial distress, while high ratios may suggest underutilization of resources.
- **Investor Confidence**: Strong liquidity ratios often build investor and creditor confidence.

b)Activity Ratios

Activity ratios, also known as **efficiency ratios**, measure how effectively a company utilizes its assets to generate revenue and manage its operations. These ratios provide insights into how well a business is performing in terms of asset management, inventory control, and receivables.

These are three types:

(1) Inventory turnover Ratio

(2) Debtors Turnover Ratio

(3) Creditors Turnover Ratio

(1) Inventory Turnover Ratio

- **Formula**:

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$$

- **Explanation**:
  The **Inventory Turnover Ratio** measures how often a company sells and replaces its inventory within a certain period (usually a year). A higher ratio indicates efficient inventory management, showing that the company is selling inventory quickly. A lower ratio may suggest overstocking or slow-moving inventory.
- **Example**:

If a company's **COGS** is $500,000 and **Average Inventory** is $100,000, the inventory turnover ratio is:

$$\frac{500,000}{100,000} = 5$$

- This means the company sold and replaced its inventory 5 times during the period.

(2) Debtors Turnover Ratio (Receivables Turnover Ratio)

- **Formula**:

$$\text{Debtors Turnover Ratio} = \frac{\text{Net Credit Sales}}{\text{Average Accounts Receivable}}$$

- **Explanation**:

  The **Debtors Turnover Ratio** indicates how efficiently a company collects payments from its customers. It measures the number of times accounts receivable is collected during a period. A higher ratio means the company is collecting its receivables quickly, while a lower ratio may suggest that the company is struggling to collect payments.

- **Example**:

  If **Net Credit Sales** are $600,000 and **Average Accounts Receivable** is $150,000, the ratio is:

$$\frac{600,000}{150,000} = 4$$

  This means the company collected its receivables 4 times during the period.

(3) Creditors Turnover Ratio (Accounts Payable Turnover Ratio)

- **Formula**:

$$\text{Creditors Turnover Ratio} = \frac{\text{Total Credit Purchases}}{\text{Average Accounts Payable}}$$

- **Explanation**:

  The **Creditors Turnover Ratio** measures how frequently a company pays off its creditors or suppliers during a period. A higher ratio indicates the company is paying off its suppliers quickly, while a lower ratio could suggest that the company is delaying payments, possibly to manage cash flow.

- **Example**:

  If **Total Credit Purchases** are $400,000 and **Average Accounts Payable** is $100,000, the ratio is:

$$\frac{400,000}{100,000} = 4$$

  This means the company paid its creditors 4 times during the period.

Quick Summary of Ratios:

1. **Inventory Turnover Ratio**: Shows how often inventory is sold and replaced (higher ratio indicates efficiency).

2. **Debtors Turnover Ratio**: Measures how quickly a company collects payments from customers (higher ratio means quicker collection).
3. **Creditors Turnover Ratio**: Indicates how often a company pays its suppliers (higher ratio means faster payment).

These ratios help assess a company's operational efficiency in managing inventory, receivables, and payables.

(c) Capital structure ratios

Capital structure ratios are financial metrics that help assess the composition of a company's long-term debt and equity, revealing how a company finances its overall operations and growth. These ratios provide insights into the company's financial leverage and the risk associated with its debt levels.

The following are the most commonly used capital structure ratios:

(1) Debt-equity ratio

(2) Interest coverage ratio

1. Debt-Equity Ratio

- **Formula**:

$$\text{Debt-Equity Ratio} = \frac{\text{Total Debt}}{\text{Total Equity}}$$

- **Explanation**:

  The **Debt-Equity Ratio** compares the total debt of a company to its total equity, indicating the proportion of debt used to finance the company's assets relative to the owner's equity. This ratio helps assess the company's financial leverage and risk. A higher ratio indicates that the company relies more on debt financing, which can increase financial risk, while a lower ratio suggests more reliance on equity financing, indicating lower risk.

- **Example**:

  If a company has total debt of $500,000 and total equity of $250,000, the Debt-Equity Ratio is:

$$\frac{500,000}{250,000} = 2$$

  This means the company has $2 of debt for every $1 of equity.

2. Interest Coverage Ratio

- **Formula**:

$$\text{Interest Coverage Ratio} = \frac{\text{EBIT}}{\text{Interest Expense}}$$

Where **EBIT** stands for Earnings Before Interest and Taxes.

- **Explanation**:
  The **Interest Coverage Ratio** measures a company's ability to meet its interest obligations on debt. It shows how many times a company's earnings (before paying interest and taxes) can cover its interest expenses. A higher ratio indicates that the company is more capable of covering its interest payments, reducing the risk of default, while a lower ratio suggests potential difficulty in meeting interest obligations.
- **Example**:
  If a company's **EBIT** is $100,000 and its interest expense is $25,000, the Interest Coverage Ratio is:

$$\frac{100,000}{25,000} = 4$$

  This means the company can cover its interest payments 4 times with its earnings before interest and taxes.

(d) Profitability ratios

Profitability ratios are financial metrics used to assess a company's ability to generate earnings relative to its sales, assets, equity, and other financial metrics. These ratios help determine how efficiently a company is performing in terms of generating profit from its resources.

1.Gross Profit Margin

- **Formula**:

$$\text{Gross Profit Margin} = \frac{\text{Gross Profit}}{\text{Net Sales}} \times 100$$

- **Explanation**: This ratio measures the percentage of revenue that exceeds the cost of goods sold (COGS). It shows how efficiently a company produces its goods or services.
- **Example**: If gross profit is $200,000 and net sales are $500,000, the gross profit margin is:

$$\frac{200,000}{500,000} \times 100 = 40\%$$

- This means the company retains 40% of its sales revenue after covering the cost of production.

2.Operating Profit Margin

- **Formula**:

$$\text{Operating Profit Margin} = \frac{\text{Operating Profit (EBIT)}}{\text{Net Sales}} \times 100$$

- **Explanation**: This ratio evaluates the percentage of revenue that remains after paying for variable costs such as wages and raw materials, but before paying interest or tax. It reflects the efficiency of core operations.
- **Example**: If operating profit (EBIT) is $100,000 and net sales are $500,000, the operating profit margin is:

$$\frac{100,000}{500,000} \times 100 = 20\%$$

- This means the company earns 20% of its sales as operating profit.

3.Net Profit Margin

- **Formula**:

$$\text{Net Profit Margin} = \frac{\text{Net Profit}}{\text{Net Sales}} \times 100$$

- **Explanation**: This ratio shows the percentage of revenue that remains as profit after all expenses (including operating expenses, interest, and taxes) are deducted. A higher net profit margin indicates better profitability.
- **Example**: If net profit is $50,000 and net sales are $500,000, the net profit margin is:

$$\frac{50,000}{500,000} \times 100 = 10\%$$

- This means the company retains 10% of its revenue as profit after all expenses.

4.Return on Assets (ROA)

- **Formula**:

$$\text{Return on Assets (ROA)} = \frac{\text{Net Profit}}{\text{Average Total Assets}} \times 100$$

- **Explanation**: ROA measures how efficiently a company uses its assets to generate profit. A higher ROA indicates better utilization of assets.
- **Example**: If net profit is $50,000 and average total assets are $500,000, the ROA is:

$$\frac{50,000}{500,000} \times 100 = 10\%$$

- This means the company generates 10% profit for every dollar invested in assets.

5.Return on Equity (ROE)

- **Formula**:

$$\text{Return on Equity (ROE)} = \frac{\text{Net Profit}}{\text{Average Shareholder Equity}} \times 100$$

- **Explanation**: ROE measures how effectively a company uses shareholders' equity to generate profit. A higher ROE indicates a higher return on investment for shareholders.
- **Example**: If net profit is $50,000 and average shareholder equity is $250,000, the ROE is: $\frac{50,000}{250,000} \times 100 = 20\%$
- This means the company generates a 20% return for its shareholders.

6.Return on Investment (ROI)

- **Formula**:

$$\text{Return on Investment (ROI)} = \frac{\text{Net Profit}}{\text{Investment Cost}} \times 100$$

- **Explanation**: ROI evaluates the return generated from an investment, indicating how well the invested capital is performing. A higher ROI is generally desirable.
- **Example**: If net profit from an investment is $30,000 and the cost of investment is $150,000, the ROI is:

$$\frac{30,000}{150,000} \times 100 = 20\%$$

- This means the investment has provided a 20% return.

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